

SPGI pitch deck

PITCH — SPGI — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: BUY a small initial position (~0.4% of book, one quarter of an intended 1.5% full position) near \$418.80, explicitly labeled “fairly-paid quality carry, not edge” — with the full position gated on the October 29 third-quarter report passing all three tests below. Both benches converged here: red recommended accept-with-cuts (kill-case conviction only 5/10), blue sustained the cuts and affirmed the carry at 8/10.

What we believe

S&P Global is a clean, honest, dominant business trading at a fair — not cheap — price, and fairness is enough to own it as a compounder if the tail risks are sized for.

Specifics both benches confirmed from primary documents:

- **The business is confirmed clean.** Balance sheet, dilution honesty, and disclosure all checked out. Full-year 2026 guidance is \$17.50–\$17.75 adjusted EPS (\$16.35–\$16.60 GAAP), 6–8% organic constant-currency revenue growth, and more than \$7B of buybacks — confirmed against the company’s own [Q2 2026 earnings release](#) and the [10-Q filed 2026-07-28](#).
- **At ~\$418.80 that is roughly 23.7–23.8× forward adjusted earnings (25.4× GAAP), with a free-cash-flow yield around 4.0–4.2% for the company as it exists after the July 1 Mobility spin-off.** With mid-to-high single digit organic growth and roughly 3.5% per year of sustainable buyback capacity on top of the dividend, the math clears a money-market hurdle without needing the multiple to rise.
- **The correct downside frame is a ratings duopoly in a debt-issuance downturn — painful but recoverable — not a broken business.** Blue’s most important correction of red: cyclicity is not the same as disruptability.

What we no longer believe (our own original pitch got these wrong — see the table): that ~65% of revenue is recurring “toll road” revenue (it’s closer to 45%), that the stock trades at a meaningful discount to its own history (unprovable on a consistent basis), and that the free-cash-flow yield is 4.5% (it isn’t, post-spin).

What the market believes

The stock is down about 21% from its 52-week high of ~\$529 (a figure partly contaminated by the July 1 Mobility spin-off, so treat the drawdown as overstated) and sits 16% above its 52-week low. The Q2 print on July 28 was received as a disappointment — adjusted EPS of \$4.83 against a consensus that aggregators report inconsistently (\$4.95 by one count, \$4.75 by another; we could not resolve which is

right). The market is treating SPGI as a fully-discovered mega-cap quality name inside a data-and-analytics cohort that is actively de-rating on AI-disruption fear (FactSet, a peer, is down ~58%), and is pricing modest skepticism about the Market Intelligence segment (+6% organic, the slowest leg) while giving little separate thought to *where* the Ratings growth is coming from.

Why we might have edge

Honestly: **limited, and the courts said so**. This is proposed as fairly-paid carry, not as a mispricing. The genuine content is:

1. **We know precisely what the growth mix is, and most commentary doesn't.** From the 10-Q revenue note: Ratings transaction revenue was \$746M vs \$597M a year ago (+25%), and roughly 41% of the entire quarter's revenue growth was this single cyclical line. That cuts against the bull story — but it also means we know exactly what to watch on October 29, and we have named, checkable instruments (the company's own accelerated buyback contracts, struck at \$426.70 and \$414.76) to verify the capital-return promise.
2. **We have a defensible downside taxonomy.** An issuance downturn hits revenue but not the duopoly franchise; that distinction — recoverable downturn vs permanent impairment — is what lets us own it through a bad quarter rather than being shaken out.
3. **The three-gate re-entry plan is specific.** Most holders have no falsifiable test for the thesis; we do, with dates and thresholds.

Why it might be priced in

- **It is a mega-cap covered by everyone; the “fair price” conclusion is close to the consensus conclusion.** We claim no informational advantage on the headline numbers.
- **The supposedly AI-safe leg is AI-funded.** Management itself said Q2 issuance strength was driven by tech infrastructure and hyperscaler debt: \$169B of hyperscaler issuance billed in H1, with the full-year assumption *raised* to \$250–300B from ~\$200B. An AI-capex halt would hit Ratings transaction revenue, the Market Intelligence narrative, and index assets simultaneously — one macro event, all three legs. The market's de-rating of the whole cohort may be pricing exactly this.
- **The 5.7% buyback yield the tape sees is a spin-year one-off, funded by \$1,986M of new senior notes and spin proceeds, not by free cash flow.** The durable pace is ~3.5%/yr. Anyone doing the balance-sheet work reaches the same haircut.
- **Our household already carries heavy AI-correlated exposure** (large US index beta, a tech-tilted separately managed account, and a concentrated GOOGL position), so even the fair carry is worth less *to us* than to a diversified buyer — hence the size haircut.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“~65% of revenue is recurring toll-road revenue” (our own original pitch)	Q2 revenue disaggregation, 10-Q + release	Ratings transaction \$746M = 56% of Ratings, +25% y/y; truly recurring ≈ 45%	NO — our pitch bench was wrong; red caught it, blue’s independent math confirmed
Ratings leg is AI-insulated (our pitch)	Earnings call transcript	\$169B H1 hyperscaler issuance; FY assumption raised to \$250–300B; private-markets ratings +60%	NO — refuted and then strengthened against us by blue
“Trades at a discount to its decade at 28–30×” (our pitch)	Attempted to source the anchor; compared GAAP vs adjusted basis	Anchor unsourced; 15% GAAP/adjusted gap post-IHS-Markit amortization contaminates the comparison. 25.4× GAAP forward may be near historical parity	NO — anchor failed our own grading rule; cannot carry weight
4.5% free-cash-flow yield (our pitch)	Release Exhibit 3: H1 FCF \$2,411M	Includes Mobility months; post-spin yield ≈ 4.0–4.2% (estimate)	PARTIAL — overstated by ~30–50bps
FY26 guide: \$17.50–17.75 adj EPS, >\$7B buyback, 6–8% organic	Company release PDF + two independent aggregators	Matches	YES
Buyback is funded by free cash flow	Exhibit 3 balance sheet & cash flow	NO — \$1,986M new notes; short-term debt \$718M→\$2,572M; ~\$8.5B FY capital return vs ~\$5.5B FCF. Red missed this entirely; blue found it. Durable pace ≈ 3.5%/yr	YES (as a negative)
Buyback delivery on track	10-Q accelerated-repurchase note	Only \$1.5B done YTD (Feb 12 \$1B @ \$426.70; May 7 \$500M @ \$414.76); \$5.5B must land in H2 — expect a large new contract in the Q3 10-Q	YES — delivery is back-loaded, checkable
“Indices +20%” accrues to us	10-Q noncontrolling-interest line	\$106M of Q2 income (+20% y/y) goes to CME/News Corp — ~27% of the best segment isn’t ours	YES (as a caveat)
A flat multiple can be assumed (our pitch)	Arithmetic sensitivity	A drift to 20× over two years nets carry to ~2–4%, below money-market. Red filed this as a finding; blue correctly reduced it to a sensitivity — a red-bench overreach	Symmetric risk, absorbed by small sizing
Cyclical = fragile (red’s frame)	Blue’s cross-check	Red-bench error of frame: issuance downturns are recoverable through the ratings duopoly; only MI vendor-disruption is permanent impairment	Corrected
Live price	Interactive Brokers	Permission denied three times; using the 8/14 close \$418.80 from the evidence pack	NO — must re-pull before any order
MI slowdown vs normal seasonality	Desk seasonality tool	Not run this session; the +6% figure rests only on the release’s pro-forma year-over-year	NO
Evidence-pack integrity	Both benches	Pack’s own XBRL block was stale (ends 2017) and its 52-week-high/drawdown figures were contaminated by the	Pack partially defective

Claim	How checked	Found	Confirmed?
		Mobility spin — superseded by both benches	

PROPOSED ENTRY BANDS

All prices from the benches' own math; the position label is **carry, not edge**, and the size haircut for our existing AI-correlated holdings is applied throughout. Live-quote re-pull from the broker is mandatory before any order.

- **Initial buy (now, pending adjudication): ~\$418.80** (8/14 close), **~0.4% of book** — one quarter of an intended full position of ~1.5% (a standard 2% quality-compounder position cut ~25% for household AI-correlation, per blue's overlay).
- **Add band 1 — ~\$414.75:** the company's own May 7 buyback strike; buying alongside the company's demonstrated repurchase level. Add ~0.4%.
- **Add band 2 — ~\$382:** the price at which the post-spin free-cash-flow yield reaches ~4.5% — i.e., where our *original* (over-optimistic) carry math becomes true. Add ~0.4%.
- **Deep band — ~\$352:** 20× forward adjusted EPS midpoint ($\$17.625 \times 20$) — the level at which red's two-year multiple-drift scenario is already fully in the price. Complete the position here regardless of gate status, provided no new integrity finding.
- **Full-position gate (the alternative route to full size, at any price): October 29 Q3 report must pass ALL THREE:** (1) Market Intelligence organic growth $\geq 8\%$; (2) Ratings growth decomposition showing meaningful growth beyond the hyperscaler cohort (red's change-my-mind threshold: hyperscaler $< 15\%$ of transaction growth); (3) evidence in the 10-Q of a large new accelerated-repurchase contract consistent with delivering the remaining \$5.5B of the \$7B buyback.
- **Trim/exit:** none price-based — this is a carry position. Failure of the 10/29 gates **blocks the add** (it does not force a sale); exit only on an integrity finding or on evidence the Market Intelligence leg is being structurally displaced (permanent-impairment category), not on an issuance downturn (recoverable category).
- **Catalyst date: 2026-10-29**, Q3 report — date is derived from an aggregator and **UNCONFIRMED**; verify against a company press release.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 352.0 (deck-provisional: 20x forward adj EPS midpoint — red's two-year multiple-drift scenario fully priced; complete position)
- filing watch: 8-K, 10-Q until 2027-02-11 (deck-provisional: Q3 print three-gate: MI organic $\geq 8\%$ AND Ratings growth beyond hyperscaler cohort ($< 15\%$ of transaction))

- dated pack SPGI|2026-10-29: SPGI Q3 (date UNCONFIRMED — verify): the FULL-SLEEVE three-gate: (1) MI organic $\geq 8\%$; (2) Ratings growth decomposition beyond the hyperscale

What remains unverified

- The **October 29 print date** (aggregator-derived, no company PR yet).
- The **exact post-spin free-cash-flow yield** (4.0–4.2% is an estimate; the first clean RemainCo cash-flow statement arrives with Q3).
- **Which consensus number Q2 actually missed** (aggregators disagree).
- Whether the **Market Intelligence slowdown is seasonal or secular** (seasonality tool not run).
- The **historical multiple comparison on any consistent basis** (the 28–30 $\times$ anchor remains unsourced; treat all “discount to history” language as unproven).
- The **live price** (broker permission denied; all sizing math anchored to the 8/14 close).
- **Hyperscaler share of Ratings transaction growth** below the segment level — the decisive decomposition only arrives 10/29.

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